



(Strategic Management) Managing Strategy

BITS Pilani
Pilani Campus

Strategic Management



Nestlé

Good food, Good life

Colgate-Palmolive

Who drives this?



Julie Sweet
Chief Executive Officer
Accenture



David L. Calhoun
Ex-President and
Chief Executive Officer
Boeing



**Mr. Kumar
Mangalam Birla**
Chairman, Aditya
Birla Group



You
Chief Executive Officer
XXX



Pekka Lundmark
Ex-President and
Chief Executive Officer
Nokia



Gary C. Kelly
Ex-Chief Executive
Officer
Southwest Airlines



Learning Objectives

Strategic management.

Six steps of the strategic management process.

Three types of corporate strategies.



Strategic Management

Strategic Management: a set of managerial **decisions** and **actions** that determines the long-run performance of a corporation.



Strategic Management

- Firm performance depends both on the **actions** managers take and the **context** in which those actions are taken.
 - Actions: Acquisition and deployment of firms assets
 - Context: Internal & External factors
 - The Goal of Strategic Management is to provide the conceptual framework that will help a manager understand the key **relationships** among **actions, context and performance.**
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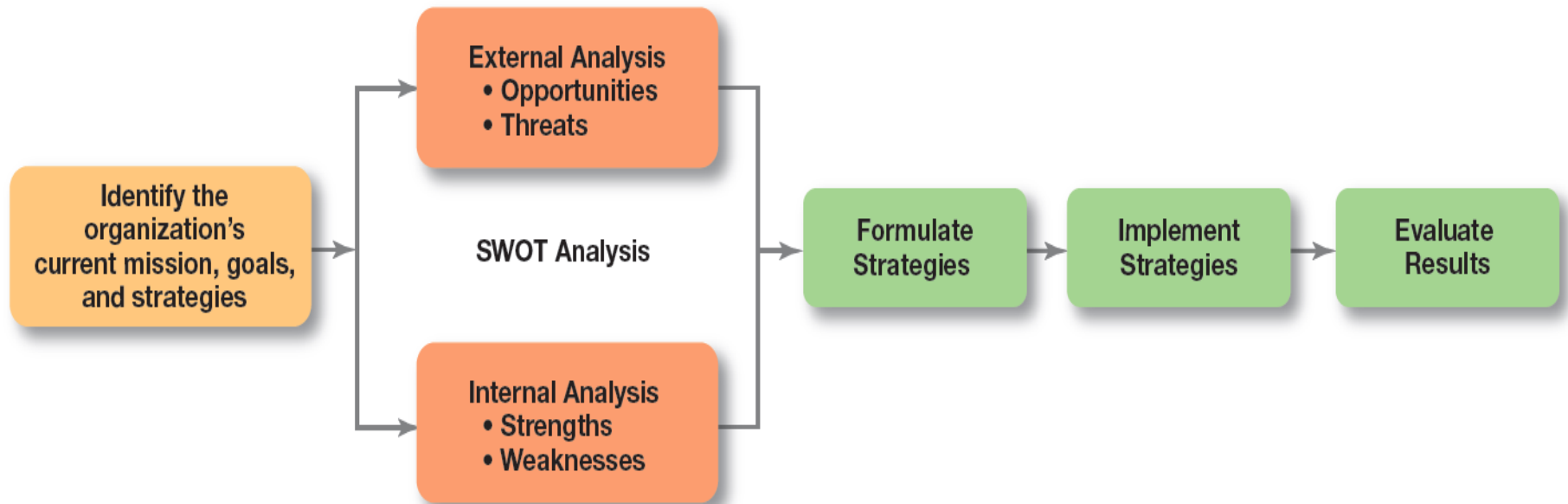
Strategy

Strategy is about understanding **what you do**, looking out over the **long-term future** to determine what you want to become, and - most importantly - focusing **on how** you plan to get there.

Dictionary: Strategy is a **plan, method**, or a series of **maneuvers** or stratagems for obtaining a specific goal or result.

Management: Strategy is a **plan** or **pattern** that integrates an organization's major goals, policies and action sequences into a cohesive whole.

Strategic Management Process



A Six Step Process

Step 1: Identifying the Organization's Current Mission, Goals, and Strategies



- **Mission:** the purpose of an organization





Components of a Mission Statement

Component	Question
Customers	Who are the firm's customers?
Market	Where does the firm compete geographically?
Concern for Survival, Growth, and Profitability	Is the firm committed to growth and financial stability?
Philosophy	What are the firm's basic beliefs, values, and ethical priorities?
Concern for Public Image	How responsive is the firm to societal and environmental concerns?
Products or Services	What are the firm's major products or services?
Technology	Is the firm technologically current?
Self-Concept	What are the firm's major competitive advantage and core competencies?
Concern for Employees	Are employees a valuable asset of the firm?

Step 2: Doing an External Analysis

- **Opportunities:** positive trends in the external environment
- **Threats:** negative trends in the external environment



Step 3: Doing an Internal Analysis

- **Resources:** an organization's **assets – financial, physical, human, and intangible** - that are used to develop, manufacture, and deliver products to its customers.
- **Capabilities:** an organization's **skills and abilities** in doing the work activities needed in its business.
- **Core competencies:** the organization's **major value-creating capabilities** that determine its competitive weapons.
- **Culture** and **Structure** of an organization also needs to be assessed.

Strengths: any activities the organization does well or its unique resources

Weaknesses: activities the organization does not do well or resources it needs but does not possess

SWOT Analysis

- **SWOT analysis:** an analysis of the organization's strengths, weaknesses, opportunities, and threats



Step 4: Formulating Strategies

Three main types of strategies managers will formulate:

- Corporate
- Competitive/business
- Functional

Hierarchy/Types of Organizational Strategies



Corporate

Multibusiness
Corporation

Competitive

Strategic
Business Unit 1

Strategic
Business Unit 2

Strategic
Business Unit 3

Functional

Research and
Development

Manufacturing

Marketing

Human
Resources

Finance



Step 5: Implementing Strategies

- No matter how effectively an organization has planned its strategies, performance will suffer if the strategies aren't implemented properly.

Developing Programs, Budgets and Procedures

Hierarchy/Types of Organizational Strategies



Corporate

Multibusiness
Corporation

Competitive

Strategic
Business Unit 1

Strategic
Business Unit 2

Strategic
Business Unit 3

Functional

Research and
Development

Manufacturing

Marketing

Human
Resources

Finance

- **Change in Structure**
- **Appropriate staffing: right people in right number and at right place**
- **Change in culture**
- **Action plan**

Step 6: Evaluating Results

- How effective have strategies been at helping the organization achieve its goals
- What adjustments are necessary?



What is Corporate Strategy?

- **Corporate strategy:** an organizational strategy that determines **what businesses** a company is in or wants to be in, and **what it wants to do with those businesses**.

Three types of Corporate strategy are:

- Growth Strategy
 - Stability Strategy
 - Renewal Strategy
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What Are the Types of Corporate Strategy?

- **Growth strategy:** a corporate strategy that's used when an organization wants to expand the **number of markets served** or **products offered**, either **through its current business(es)** or through **new business(es)**.
 - Concentration
 - Vertical integration
 - Horizontal integration
 - Diversification
-



Growth strategy

- **Concentration:** focuses on primary line of business and increase the number of products offered and markets served in this primary business.
 - **Vertical integration:** either **backward** or **forward** or **both**.
 - » In backward integration, the organization **becomes its own supplier** so it can control its inputs.
 - » In forward integration, the organization **becomes its own distributor** and is able to control its outputs.
 - **Horizontal integration:** A company grows by combining with competitors.
 - **Diversification:** either related or unrelated. Here basically, adding new business.
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Stability and Renewal Strategies

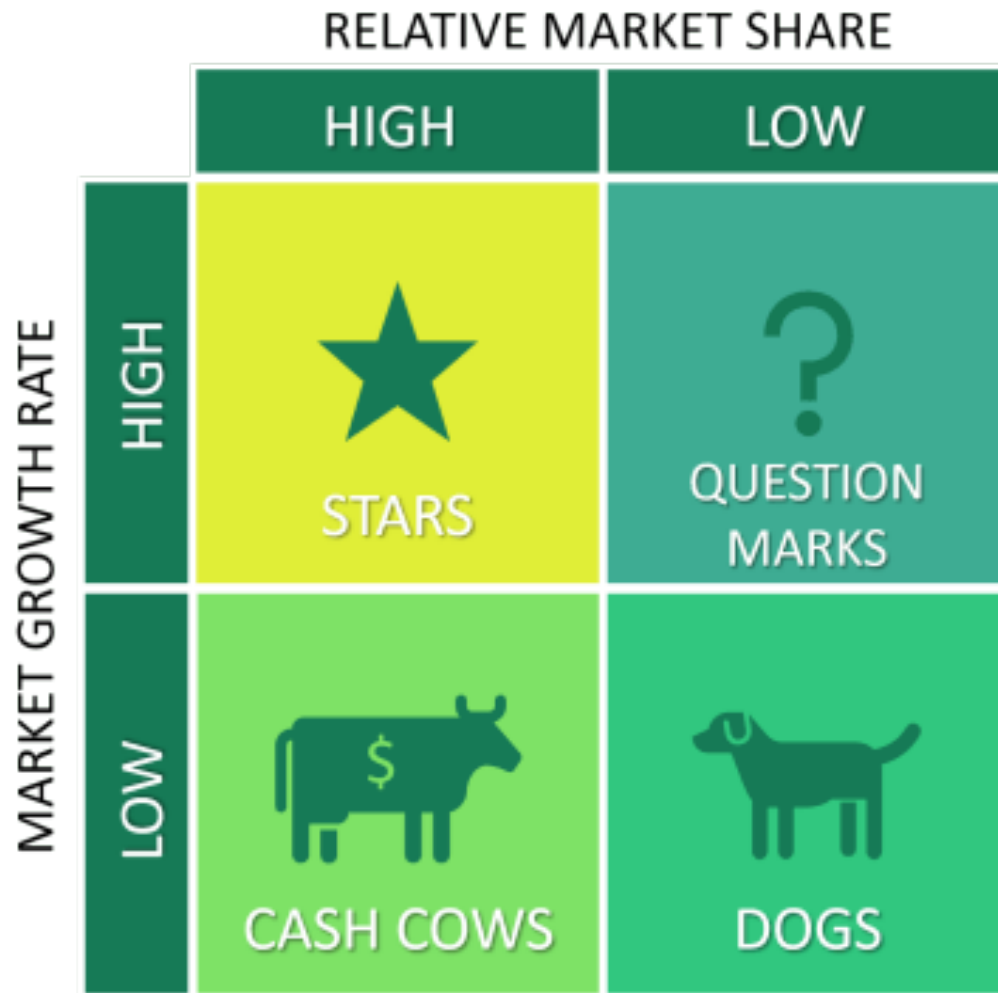
- **Stability strategy:** a corporate strategy in which an organization continues to do what it is currently doing. The organization doesn't grow. But doesn't fall behind, either.
 - **Renewal strategy:** a corporate strategy designed to address declining performance.
 - **Retrenchment strategy:** short-term renewal strategy used for a minor performance problem.
 - **Turnaround Strategy:** When organizations problems are more serious, more drastic action is needed.
- Managers do two things for renewal strategies: cut costs and restructure organizational operations.
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How Are Corporate Strategies Managed?

- **BCG matrix:** a strategy **tool** that **guides resource allocation decisions** on the basis of **market share** and **growth rate** of SBUs
 - Stars
 - Cash cows
 - Question marks
 - Dogs

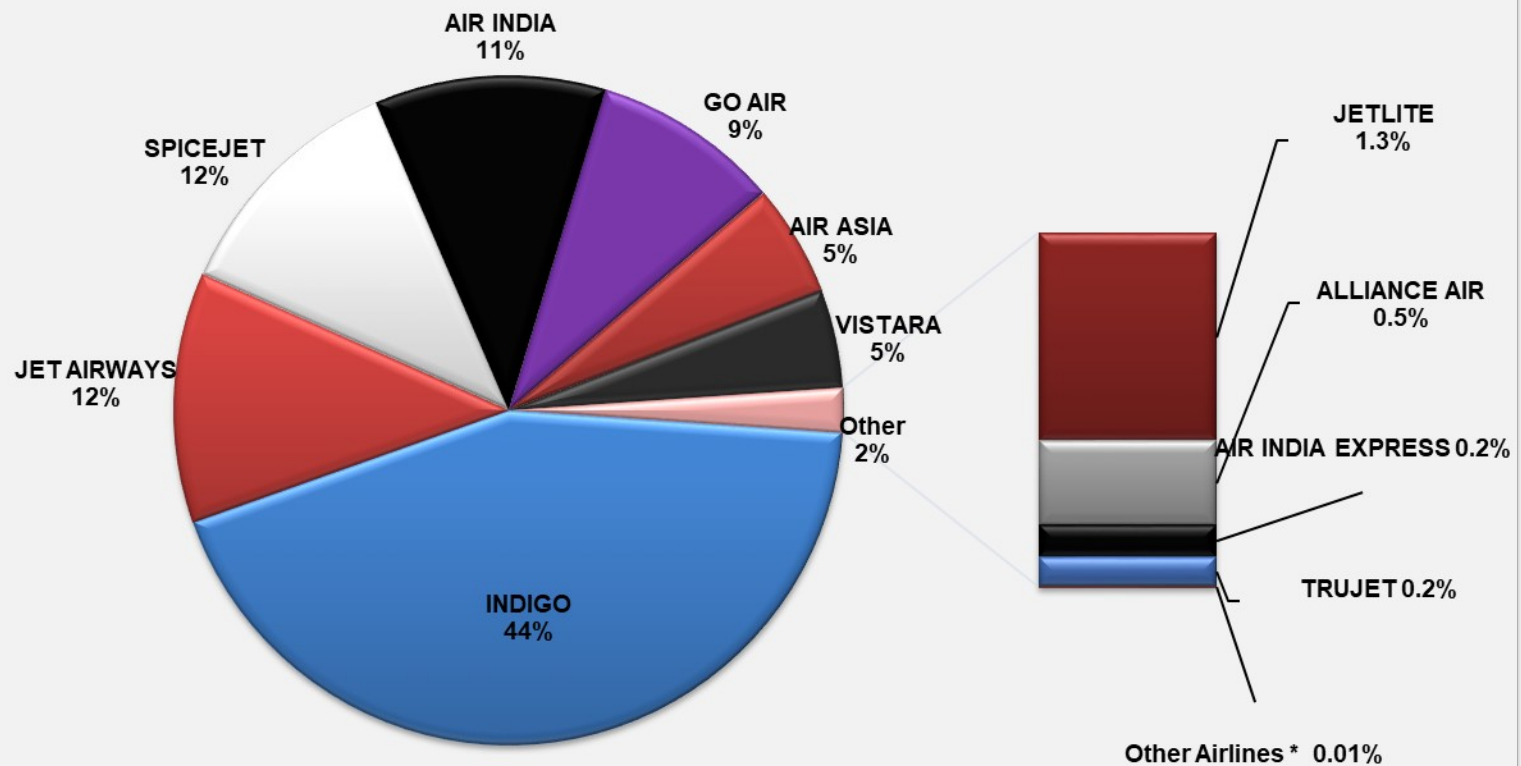
BCG Matrix



Competitive/Business Strategies



MARKET SHARE (%) IN TERMS OF DOMESTIC MARKET DEMAND in 2018-19





Competitive/Business Strategies

- **Competitive strategy:** an organizational strategy for how an organization will compete in its business(es)
 - **Strategic business unit (SBU):** the single independent businesses of an organization that formulate their own competitive strategies
 - **Competitive advantage:** What sets an organization apart; its distinctive edge
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Sustaining Competitive Advantage

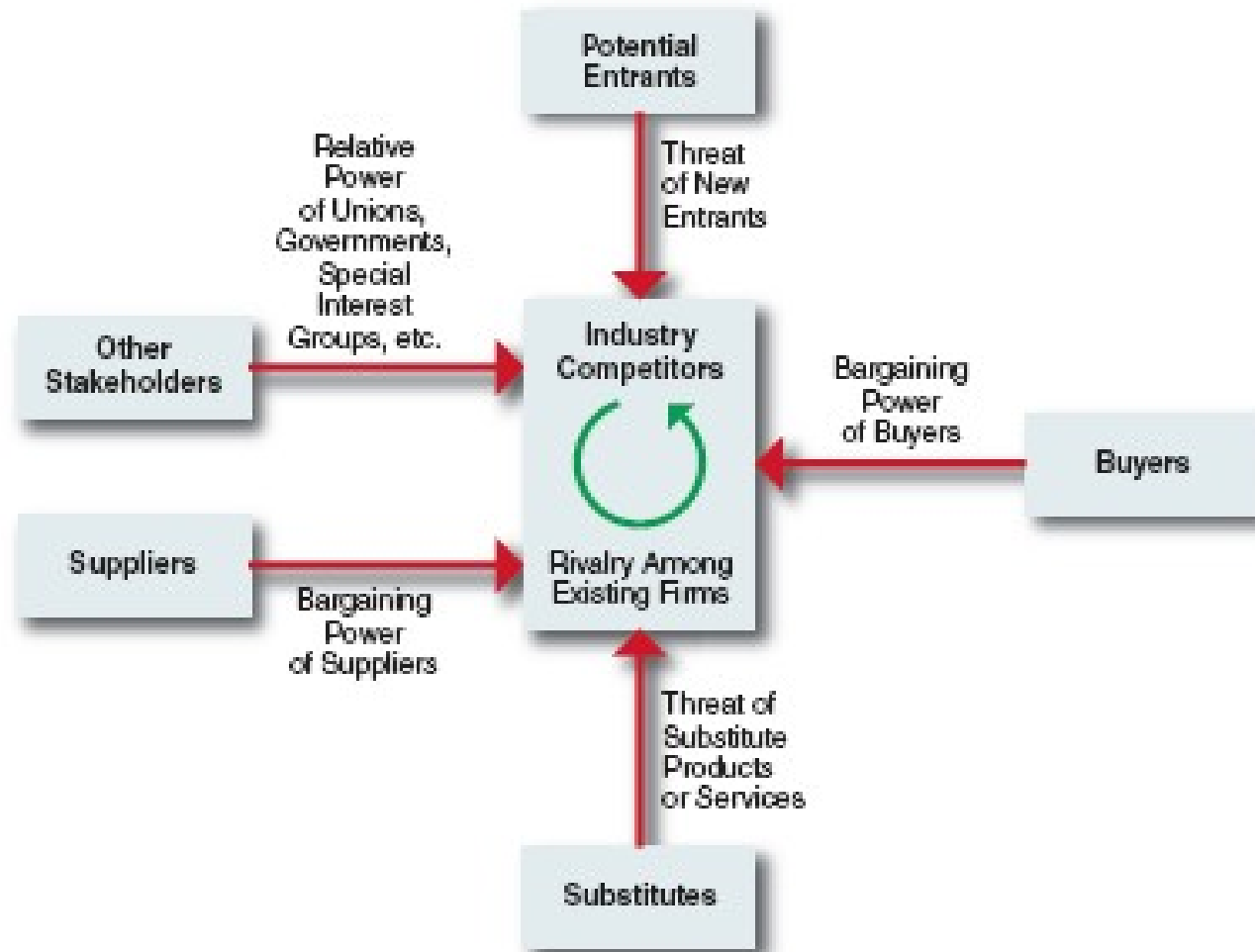
- **Porter's Five Forces Model:**
 - Threat of new entrants
 - Threat of substitutes
 - Bargaining power of buyers
 - Bargaining power of suppliers
 - Current rivalry
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Industry Analysis:

Porter's 5 Force Analysis



FIGURE 4-3
Forces Driving
Industry
Competition



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Choosing a Competitive Strategy

- **Cost leadership strategy:** competes on the basis of having **lowest costs** (costs or expenses, not prices) in its Industry.
 - **Differentiation strategy:** competes by offering **unique products** that are widely valued by customers. Product differences might come from exceptionally high quality, extraordinary service, innovative design, technological capability, or an unusually positive brand image.
 - **Focus strategy:** Cost focus or differentiation focus in a narrow segment or niche.
 - **Blue Ocean Strategy** – Value Innovation (Both Cost leadership and Differentiation)
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Functional Strategies

- **Functional strategies:** a strategy used by an organization's various functional departments to support the competitive strategy.



The Need for Strategic Leadership

- **Strategic leadership:** the ability to anticipate, envision, maintain flexibility, think strategically, and work with others in the organization to initiate changes that will create a viable and valuable future for the organization.

Effective Strategic Leadership





The Need for Strategic Flexibility

- **Strategic flexibility:** the ability to recognize major external changes, to quickly commit resources, and to recognize when a strategic decision was a mistake



Developing Strategic Flexibility

Technique

Encourage leadership unity by making sure everyone is on the same page.

Keep resources fluid and move them as circumstances warrant.

Have the right mindset to explore and understand issues and challenges.

Know what's happening with strategies currently being used by monitoring and measuring results.

Encourage employees to be open about disclosing and sharing negative information.

Get new ideas and perspectives from outside the organization.

Have multiple alternatives when making strategic decisions.

Learn from mistakes.



Thank you
